



ANNEX K
FORTUN NARVASA & SALAZAR

Republic of the Philippines
Office of the Vice President

30 November 2023

HON. GAMALIEL A. CORDOBA

Chairperson
Commission on Audit
Commonwealth Avenue, Quezon City

COMMISSION ON AUDIT
INTELLIGENCE & CONFIDENTIAL FUNDS
AUDIT OFFICE (ICFAO)
JH
DEC 04 2023 9:30 AM

ATTENTION: Nilda B. Plaras
Assistant Commissioner
Officer-in-Charge
Intelligence and Confidential Funds Audit Office (ICFAO)

Dear Chairman Cordoba:

We write in relation to Audit Observation Memorandum (AOM) Nos. 2023-211 dated 14 September 2023 and 2023-213 dated 03 October 2023, setting forth the audit findings on Liquidation Report No. 2022-12-152 pertaining to the cash advance for confidential expenses (CE) in the amount of P125,000,000.00 released under Check No. 244027 dated 20 December 2022.

On 19 October 2023, the Office of the Vice President (OVP) submitted its initial response to the audit findings as well as the documents required in compliance with the recommendations of said AOMs.

To further explain the propriety, validity, and regularity of all transactions related to said cash advance, we respectfully submit the additional response below.

AOM NO. 2023-211

We note that the subject audit observations in Item No. 2 of AOM No. 2023-211 pertain to the alleged "lack of specific detail on the confidential activities undertaken and confidential expenses incurred in the Accomplishment Report" such that it is claimed that "it cannot be determined that the utilization of the confidential fund for the period December 21-31, 2022 is warranted considering that in its PFP, the allocated amount is good for Three (3) months".

We respectfully submit that all transactions related to the subject CE are valid, proper, and regular since all conditions for its utilization as well as release and liquidation of cash advance required under the Joint Circular (JC) were fully complied



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AOM No. 2023-213

Item 3 of AOM No. 2023-213 states that the amount of P40,000,000.00 that was used for Provision of Medical and Food Aid and the amount of P10,000,000.00 Payment of Incentives or Travelling do not fall among the enumerated activities under Item 4.8 of the Joint Circular (JC) No. 2015-01.

Allow us to repeat that the provision for Medical and Food Aid is an allowable expense under the JC No. 2015-01, particularly Item 4.8.4 thereof, which explicitly allows confidential expenses on "purchase or rental of supplies, materials and equipment for confidential operations that cannot be done through regular procedures without compromising the information gathering activity concerned".

The provision for Medical and Food Aid in the amount of P40,000,000.00 was given to the individuals tasked by the OVP to conduct the surveillance operations in the gathering of information nationwide that were vital to the formulation and implementation of the programs, projects, and activities of the Office. The amount was intended for the purchase of their medicines and food supplies and was acknowledged by the recipients.

As regards the "Payment of Incentives or Travelling", allow us to clarify that disbursements made under this heading were all attributable to transportation expenses incurred in the conduct of confidential activities, as can be gleaned from the documentary evidence of payments submitted. Hence, we submit that those expenses are well within the purview and contemplation of Item 4.8.2 of the JC which provides for the "rental of transport vehicle related to confidential activities".

Both Provision of Medical and Food Aid and Payment for Travelling are allowable expenses under Item 4.8 of the JC. This is plain from the definition itself of Confidential Expenses (CE) under Item 3.9 of the JC, which expressly states that they "refer to those expenses pertaining/related to surveillance activities in civilian government agencies that are intended to support the mandate or operations of the agency".

The AR received by your office on September 18, 2023 shows that the "Actual Outcome/Accomplishment"¹, for which the total amount of P125,000,000.00 was spent, pertains to surveillance and monitoring activities by the OVP. The AR also contains a breakdown of said amount, showing the expenses that pertain and/or are related to the surveillance and monitoring activities undertaken by the OVP, including the provision for Medical and Food Aid and travel expenses.

Considering that Item 3.9 of the JC defines CE to refer to those expenses pertaining or related to surveillance activities, we submit that the provisions of Medical and Food aid, as well as expenses for travelling, are basic, indispensable, and

¹ See Accomplishment Report, received by the Intelligence & Confidential Fund Audit Office on September 18, 2023



unavoidable expenses in carrying out the surveillance and monitoring activities of the OVP. This is especially true considering that the OVP, as certified in the AR, had to enlist the "full cooperation/initiatives of law enforcers"² in conducting the surveillance and monitoring activities, as one of the limiting factors in the implementation of the program is the "lack of cooperation of constituents."³

Further, this exercise in implementing the surveillance and monitoring program by the OVP is consistent with Paragraph 4.9 of the JC, which states that "Conduct of confidential activities shall, as far as practicable, be done with proper collaboration with any of the following law enforcement agencies: (a) the Philippine National Police, (b) the Armed Forces of the Philippines, (c) the Philippine Drug Enforcement Agency, or (d) other agencies with law-enforcement functions. Such collaboration, if undertaken, must be specified in the accomplishment report of the concerned agency."⁴

In connection thereto, it may be recalled that in our Comment dated October 19, 2023, the OVP has submitted a certification from the Vice Presidential Security and Protection Group on the absence of any untoward incidents in the engagement and implementation by the OVP of its surveillance program, and that intelligence reports have been made and filed as a result of these surveillance activities. These prove that disbursements have been made, as intelligence reports have, in fact, been obtained as a result thereof.

In light of the foregoing, we trust that this supplemental response sufficiently addresses the audit observations of this Honorable Office and that a Credit Notice covering Liquidation Report No. 2022-12-152 be issued.

[REDACTED]

Under [REDACTED] Chief of Staff

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Assistant Secretary and Assistant Chief of Staff

² See "Facilitating Factor", Accomplishment Report received September 18, 2023

³ See "Limiting Factor", Accomplishment Report received September 18, 2023

⁴ Paragraph 4.9, Joint Circular 2015-01 dated January 8, 2015